

their stewardship. It is, in effect, the report they submit to justify their continued existence and it is because of this that these reports should be read with a pinch of salt. After all, if a group of individuals have to present an evaluation of their own performance they are bound to highlight their achievements and gloss over their failures. It is natural. It is human nature. Consequently, all these reports are very well written. Every sentence, nay every word, is subjected to the most piercing scrutiny. Every happening of importance is catalogued and highlighted to convince a casual reader that the company is in good hands. And there is a tendency to justify unhappy happenings. Nevertheless, the Directors' Report provides an investor valuable information:

1. It enunciates the opinion of the directors on the state of the economy and the political situation *vis-a-vis* the company.
2. Explains the performance and the financial results of the company in the period under review. This is an extremely important part. The results and operations of the various separate divisions are usually detailed and investors can determine the reasons for their good or bad performance.
3. The Directors' Report details the company's plans for modernization, expansion and diversification. Without these, a company will remain static and eventually decline.
4. Discusses the profit earned in the period under review and the dividend recommended by the directors. This paragraph should normally be read with sane skepticism as the directors will always argue that the performance was satisfactory. If profits have improved it would invariably be because of superior marketing and hard work in the face of severe competition. If low, adverse economic conditions are usually at fault!.
5. Elaborates on the directors views of the company's prospects in the future.
6. Discusses plans for new acquisitions and investments.

An investor must intelligently evaluate the issues raised in a Directors' Report. Diversification is good but does it make sense? Industry conditions and the management's knowledge of the business must be considered. A